



Transforming Healthcare through Innovation and Sustainability

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Our Report's Cover

Granules' Annual Report cover is representative of our strategic focus on sustainability, innovation, and the pursuit of science to revolutionise the healthcare industry. It captures elements of our sustainability journey going forward, highlighting the key elements that drive our commitment to a greener future.

From state-of-the-art facilities powered by renewable energy to our focus on science, innovation and green chemistry concepts such as bio catalysis, the entire value chain is vibrantly visualised. Further, the cover is a symbol of our ultimate aim, of making healthier lives and a greener planet possible. There is a healthy family, a thriving ecology and a sustainable environment, illustrating the positive impact we seek to achieve through our transformative work.



Transforming Healthcare through Innovation and Sustainability



Granules has been unrelenting in the pursuit of excellence for nearly four decades. Now, we are adding a new chapter to this endeavor, as we embark on a transformative journey driven by innovation and sustainability and enabled by our ability to leverage science and its progress.

With sustainability as our guiding compass, we are committed to a path that is environmentally responsible and economically viable.

Together, we shall redefine the boundaries of what is possible, while nurturing strong relationships with our stakeholders and creating lasting value for everyone.

Pursuing Purpose-led Growth



As we embark on this ongoing journey, with careful deliberation, we have revitalized our purpose, vision, and values, ensuring they embody our commitment to transformation.

Dear Stakeholders,

I hope you will find the Annual Report 2022-23 to be engaging and informative, as it provides a comprehensive overview of how Granules is managing its business in an increasingly integrated manner to reflect our new purpose of 'Healing lives responsibly through pioneering green science'.

A Year of Growth

I am pleased to report that our Company's performance has shown significant improvement over the past year. In FY 2022-23, we experienced a 20% surge in revenue, accompanied by impressive growth rates of 27% in EBITDA and 25% in PAT.

In terms of operating cash flow, FY 2022-23 was an outstanding year. Thanks to our strategic initiatives, we successfully generated a robust operational cash flow of ₹ 7,387 million. Despite incurring buyback expenses of ₹ 3,110 million and unanticipated capital expenditures of ₹ 919 million for our green technology initiatives, our net debt increased by a modest ₹ 705 million compared to the previous year.

Our revenue growth is particularly noteworthy considering the ongoing price erosion in the US market and the distribution challenges we encountered with our previous third-party logistics provider. This growth can be attributed to the significant increase in sales of API and FD products, particularly in key markets such as the US and EU.

During the year, we have successfully filed seven ANDAs with USFDA, two dossiers in the EU, and two ANDAs in CA. Additionally, we have submitted seven US DMFs and five CEPs. Furthermore, it gives me immense pleasure to announce that we have received approvals for five ANDAs from the USFDA during the same period.

Our capital expenditures for the year amounted to ₹ 4,106 millions underscoring our commitment to investing in our future growth. We have made substantial enhancements to our paracetamol API capacity and anticipate a surge in MUPS block utilization for the upcoming financial year. Furthermore, we are actively expanding our footprint in the EU through strategic business partnerships and the sale of dossiers for our FD products.

Notably, the construction of the new formulation facility at Genome Valley is progressing at a good pace, and we anticipate the completion of Phase 1 by October 2023 and Phase 2 by May 2024. Upon completion, this plant will augment our current capacity of 24 billion units of Finished Dosages (FDs) by an additional eight billion units.

Additionally, we successfully launched our new greenfield



packaging facility in Virginia, USA, and obtained FDA approval. The integration of this facility will significantly bolster our operations in both the OTC and Rx segments of our portfolio. It will also enable us to optimize our supply chain efficiency in the US, resulting in cost reductions and an improved working capital cycle.

Investing in Innovation and R&D

During FY 2022-23, our primary focus was on fortifying our R&D and product development capabilities through innovation and advanced technology platforms. By allocating a significantly higher budget for R&D expenditure, we aim to establish Granules as a research and development-driven organization. These strategic initiatives are geared towards expanding our capabilities, improving the quality of our portfolio, and increasing the number of regulatory filings.

Granules' Commitment to Combatting Climate Change

Climate change represents one of humanity's most pressing challenges. Its impact extends beyond borders, posing profound challenges to the stability of nations, economies, and ecosystems. Consequently, our planet and society face significant obstacles. The economic consequences of climate change are extensive, affecting industries, supply chains, and financial systems on a large scale.

Building a successful business involves identifying and addressing the problems society faces. In the face of the climate crisis, corporations have a crucial responsibility to pioneer innovative solutions and drive positive change. Customers are increasingly seeking sustainable products and services, and businesses that can meet this demand will be well-positioned to succeed in the years to come. By aligning purpose and profit,

Transforming Healthcare through Innovation and Sustainability

As a reflection of our commitment to combat climate change, we have entered a partnership with Greenko to establish the integrated green pharmaceutical zone in Kakinada, Andhra Pradesh. To support this endeavor, we have established Granules CZRO, a wholly-owned subsidiary of Granules India Limited. This subsidiary is dedicated to manufacturing products with a near-zero carbon footprint. We have made substantial advancements in developing various technologies for this purpose and have also formed partnerships with esteemed academic institutions and companies to drive innovation in this domain.

businesses can reshape the world for the better, leaving a lasting legacy for future generations.

Sustainability Initiatives at Granules

Granules has taken a deliberate approach to embedding sustainability within its business operations and decision-making process. Driven by a strong sense of environmental responsibility, Granules is dedicated to achieving Net Zero by 2050, further affirming its commitment to a sustainable future.

During the year, we completed the baselining process, benchmarked sustainability practices, and conducted a materiality assessment. Moving forward, Granules intends to establish and communicate comprehensive goals to all stakeholders, across the identified material areas. Our ambition is to become an industry leader and a global frontrunner in sustainability, driving positive change at scale.

Transforming for the Greater Good

Amidst an ever-changing business landscape, we embrace the potential of innovation and adaptability. Our transformation journey rests on a

steadfast dedication to creating a future-ready organization, capable of thriving in the face of evolving challenges and seizing emerging opportunities. We aim to develop the necessary capabilities and competencies that propel us toward enduring success in today's fiercely competitive environment.

As we embark on this ongoing journey, with careful deliberation, we have revitalized our purpose, vision, and values, ensuring they embody our commitment to transformation. As you read through the report, I hope you gain an overview of what we mean.

In Gratitude

Let me conclude by expressing my heartfelt gratitude to the Board of Directors for their continued guidance. My deepest appreciation goes to our employees for their dedication and pursuit of excellence. Finally, I would also like to extend my gratitude to all our stakeholders for their continued faith and confidence in us.

With best wishes to you and your families,

Dr. Krishna Prasad Chigurupati
Chairman & Managing Director

2050

Granules' Net Zero target year

Transforming for the Greater Good

We are charting a course where purpose, vision, and values intersect, shaping a future that is innovative, sustainable, and meaningful.

Our aim is to cultivate an organizational culture where purpose finds its voice, vision is translated into action, and our actions are guided by our values.

Through collaboration with our stakeholders, we dare to envision a future where healing is responsible, lives are transformed, and sustainability takes center stage.



PURPOSE

Healing lives responsibly through pioneering green science

Our purpose is deeply rooted in our hearts, driving us to responsibly heal lives through pioneering green science. With a strong commitment to environmental stewardship, we strive to integrate sustainability and growth on our journey.

VISION

To establish ourselves as a world leader in green chemical and pharmaceutical industry by harnessing cutting-edge technologies to enhance quality of life.

Our vision is ambitious, inspiring us to push boundaries, redefine possibilities, and create change that extends far beyond our horizons.

VALUES

Challenging Limits

Our unwavering belief in pushing boundaries and thinking beyond the possible drives us to challenge status quo, embrace risk and consistently pursue innovation fearlessly, without necessarily conforming to established practice. In doing so, we leverage the power of science in the best way possible.

Futuristic Thinking

We think about tomorrow and beyond. Our actions and efforts must have a positive and transformative impact for a long time to come, and everything we do is evaluated through this prism.

Customer Driven

Being driven by the customer's best interests is a way of life for us. It fuels our passion to develop tailored solutions that prioritize customer preferences. It inspires us to go above and beyond, and forge lasting, meaningful relationships.

Empowering Employees

People are the beating heart of Granules. They must be encouraged and empowered to be the best version of themselves. Through our approach, we enable and empower our colleagues and communities to achieve their highest potential, co-creating opportunities for collaboration and impact.

Quality Everywhere

Quality excellence is not just a goal but a relentless pursuit embedded in our DNA. We are driven by an approach to achieve 'best-in-class' across our products, operations, processes, and conduct. We believe this is the only way to go further, be a preferred partner for our customers, and inspire confidence and ambition in all stakeholders.

Environmental Stewardship

Being a positive force for the planet and its preservation is a fundamental duty that we fulfill through our efforts in green science, responsible practices, and an approach of trusteeship. Long-term success is based on our ability to partner in fostering a harmonious relationship with the planet and caring for it for the benefit of future generations.

OUR LEGACY

Over Three Decades of Delivering on Promises

From our origins as a paracetamol API manufacturing facility to evolving into a multi-faceted global pharmaceutical company, we have consistently achieved manufacturing excellence, set new benchmarks for quality, and expanded our footprint across the world.

1995

Became a listed company, following an IPO at the Hyderabad Stock Exchange

1993

Established our first PFI facility at Jeedimetla

1991

Incorporated Granules India Private Limited

1990

Opened Triton's second manufacturing facility at Jeedimetla to produce multiple APIs

1984

Formed Triton Laboratories to produce Paracetamol API at our Bonthapally facility in Hyderabad

2003

Granules sets up a new large volume PFI facility in Gagillapur and a wholly owned subsidiary - Granules USA for marketing in the US

2005

Built a new Paracetamol plant in Bonthapally, Hyderabad

2008

Entered the Finished Dosages segment



► Inauguration of GPAK, 2023

2010

Received US FDA approval for our first Abbreviated New Drug Application (ANDA)

2021

Set up the largest single manufacturing site for a Multi-Unit Pellet system facility

2023

Set up GPAK, which is a 79,000 sq. ft. packaging facility with four packaging suites and a warehousing facility

Established new purpose, mission, and values

2019

Entered the front-end business for the sale of Rx Products in the US under the GPI Label

2016

Laid the foundation for our Oncology API and OSD Plant and a multiple product API Plant in Visakhapatnam

2015

Entered the over-the-counter business

in the US through our label Granules Consumer Healthcare for OTC products to control the value chain

2013

Established API R&D facility in Pragathi Nagar

Acquired Auctus Pharma – An API Manufacturing Facility with regulatory approvals

2014

Set up a wholly-owned subsidiary in the US

Granules Pharmaceuticals began focusing on formulation R&D to forward integrate its APIs



AT A GLANCE

Quality Healthcare that Transforms Lives

Granules stands as one of the largest pharmaceutical manufacturing companies in India. We help translate technologies to enrich lives across North America, Europe, India, and Latin America.

Renowned for our commitment to exceptional quality and unparalleled customer efficiency, we have established a reputation that precedes us. With an illustrious track record spanning nearly 40 years, we have consistently delivered value for our esteemed customers across the globe, and helped them deliver access to quality medicine to those in need.



Our Strategy

At the brink of a transformative phase, we are driven by our ambition to elevate our business to new heights as a science and innovation-driven organization.

> Read more on page 16

One of the Largest

Pharmaceutical Formulation Intermediates (PFI) Facilities in the world

World's Largest

Paracetamol Active Pharmaceutical Ingredients (API) facility

One of the Largest

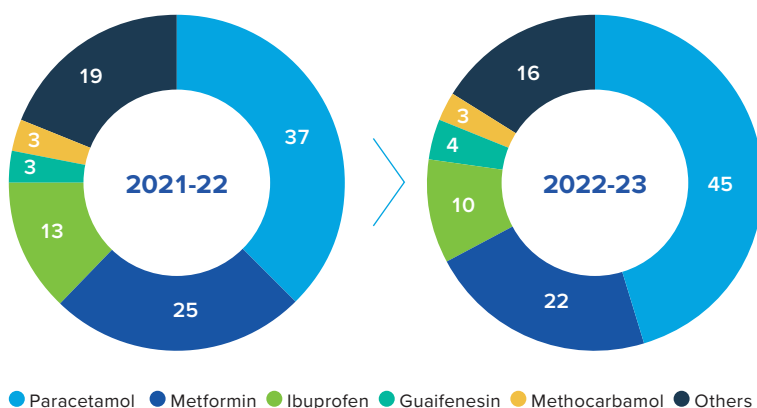
Single site Finished Dosages (FD) facilities in the world

Products

We produce API, PFI, and FD, which are marketed across key markets in North America, Europe, India, and Latin America.

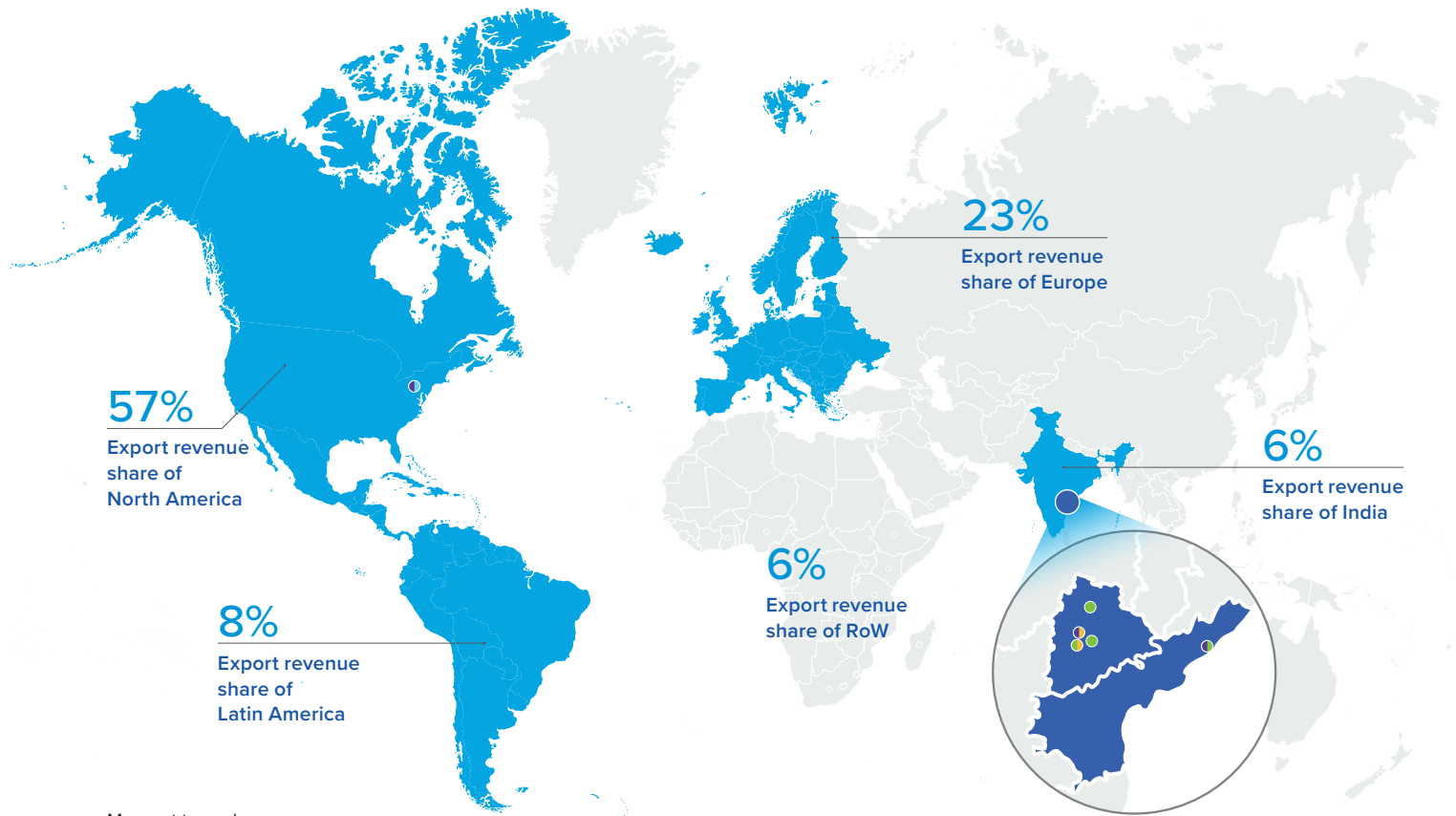
We specialize in the production of API, PFI, and FD, which are marketed across key markets in North America, Europe, India, and Latin America. Our expertise allows us to deliver these products to critical markets, ensuring their widespread availability and accessibility.

Revenue by Product (%)



Manufacturing Capabilities Catering to the World

Spanning across Hyderabad, Visakhapatnam, and Virginia, our eight state-of-the-art manufacturing facilities embody the principles of scale, focused execution, and cost leadership.



	Manufacturing Units	Capacity	Regulatory Approvals
 API	▶ Bonthapally, Telangana	▶ 34,560 TPA	▶ U.S. FDA, EDQM, WHO, COFEPRIS, INFARMED
	▶ Jeedimetla, Telangana	▶ 4,800 TPA	▶ U.S. FDA, EDQM, COFEPRIS, WHO, CDCSO
	▶ Vizag (Unit IV), Andhra Pradesh	▶ 380 KL	▶ U.S. FDA, KFDA, EU GMP, WHO GMP, EDQM
	▶ Vizag (Unit V), Andhra Pradesh	▶ 15 KL	▶ EU GMP
	▶ Bonthapally II (API Intermediate, Telangana)	▶ 61.5 KL	
 PFI	▶ Gagillapur, Hyderabad	▶ 23,200 TPA	▶ US FDA, COFEPRIS, TGA, MCC, INFARMED
	▶ Jeedimetla, Telangana	▶ 1,440 TPA	▶ WHO GMP, COFEPRIS, INFARMED
 FD	▶ Gagillapur, Hyderabad	▶ 26.8 Bn	▶ US FDA, MCC, COFEPRIS, TGA, INFARMED
	▶ Virginia, USA	▶ 1.5 Bn	▶ US FDA, DEA
	▶ Vizag (Unit V), Andhra Pradesh	▶ 1.1 Bn	▶ EU GMP
 Packaging	▶ Virginia, USA	▶ 2 OTC lines and 1 Rx line	▶ US FDA

Vertically Integrated Across the Value Chain

Driven by scale, strong R&D capabilities, and impeccable regulatory compliance, we operate across the entire pharmaceutical value chain. This comprehensive approach empowers us to provide a diverse range of cost-effective offerings that cater to the evolving needs of the healthcare industry.



₹45,119 Mn

Total Revenue

Active Pharmaceutical Ingredients (API)

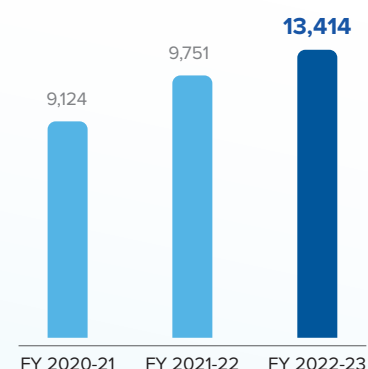
At Granules, we are a leading producer and supplier of Paracetamol, Metformin, Guaifenesin, and Methocarbamol APIs. Renowned for our efficient and cost-effective manufacturing operations, we specialize in delivering high-quality APIs. We continually strive to enhance our API manufacturing capabilities, to add new products to our portfolio pipeline.

30%

Revenue from API business

API Revenue

(₹ in Mn)



Pharmaceutical Formulation Intermediates (PFI)

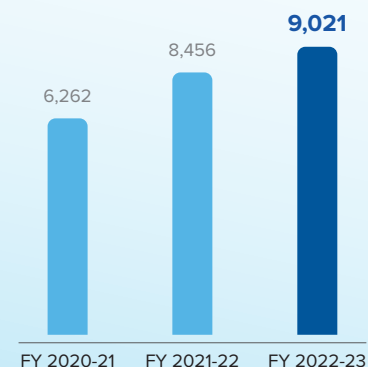
We are a leading global manufacturer of PFI with a batch processing capacity of 6 tonnes. We excel in introducing PFIs commercially to optimize cost efficiencies. Our Jeedimetla and Gagillapur facilities enable us to process intermediates and transform them into final doses using compression techniques, making us a preferred supplier to global pharmaceutical companies.

20%

Revenue from PFI business

PFI Revenue

(₹ in Mn)



Finished Dosages (FD)

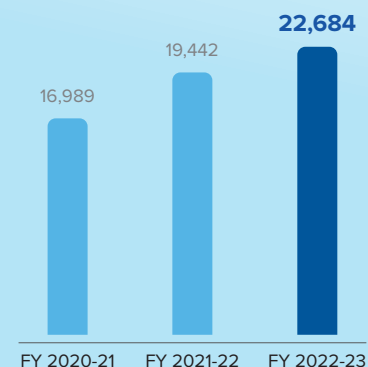
Our current product line-up, consisting of Caplets, Tablets, and Press-fit Capsules, in bulk, blister packs, and bottles, accounts for more than 50% of our total revenue. These products are manufactured at our advanced facility located in Gagillapur. This state-of-the-art unit is equipped with automated processes, resilient infrastructure, and high-quality systems, enabling us to efficiently produce finished dosages that are distributed in over 80 countries worldwide.

50%

Revenue from FD business

FD Revenue

(₹ in Mn)



PERFORMANCE HIGHLIGHTS

Accelerating Progress with Responsibility



Financial

Revenue

(₹ in mn)



Revenue growth was driven by strategic commercialization efforts in key geographies, including the US and Europe, reflecting the Company's focus on expanding market share and capitalizing on growth opportunities.

Operating Cash Flow

(₹ in mn)



Improved EBITDA margins and a better cash conversion cycle (CCC) resulted in higher operating cash flow, providing us with financial flexibility for growth and investments.

EBITDA

(₹ in mn)



Higher productivity and cost control led to a higher EBITDA compared to last year, despite a lower value-added margin, demonstrating improved profitability and operational efficiency.

Return on Capital Employed (RoCE)

(in %)



Improved EBITDA margins and asset turnover resulted in a higher RoCE, which in turn reflected effective resource management and enhanced financial performance.



Successfully concluded a share buy-back program of ₹3,110 million, including taxes and transaction costs.



Building for the Future

Secured 5 ANDA approvals from the USFDA, in addition to obtaining approvals for 6 EU dossiers and 3 Canadian dossiers.

Successfully Introduced 24 generic products under the GPI label in the United States.

Acquisition of Sajjala Bio Labs and set up GPAK.



Environmental

28.20%

Reduction in water intensity

14.03%

Reduction in GHG emissions (Scope 1 and Scope 2) intensity

320 KWp

Solar capacity added in FY 2022-23

50%

Of our wastewater is recycled

>85%

Of the solid hazardous waste sent for utilization by cement industries



Social

64%

Permanent workforce

₹110.02 Mn

CSR expenditure

97%

Return-to-work rate

Zero

Fatalities

3

Water tankers built for over 2500 villagers



Governance

100%

Shareholder Grievance Resolved

96%

Average Board Meeting Attendance

50%

Independent Directors on the Board

Business Strategy

Our strategic framework, based on the three levers of strengthening our core, R&D and innovation, and sustainability, revolves around creating strong scientific foundations in green chemicals and pharmaceuticals, fostering sustainability, fueling growth to create value for our stakeholders, and delivering our ambition.





STRENGTHENING OUR CORE

The first strategic lever focuses on strengthening our core capabilities by optimizing efficiency, achieving cost leadership, mitigating supply chain risks, expanding market presence, and progressing along the value chain in strategic markets.



R&D AND INNOVATION

The second strategic lever empowers us to drive innovation and research and development across our entire value chain, from finished formulations to active pharmaceutical ingredients (APIs) and even chemical intermediates. Through groundbreaking technology platforms, we are reshaping the realm of chemistry, igniting new possibilities for advancement.



SUSTAINABILITY

Sustainability, the third strategic lever, lies at the heart of our strategic vision. Aspiring to become a global leader in sustainability, we are committed to achieving Net Zero by 2050. Through transformative initiatives such as the partnership with Greenko, the adoption of eco-friendly technologies such as Biocatalysis, and the integration of sustainability into product development, we are fostering positive change and reshaping responsible business practices.

Fortifying Our Leadership Position

Our strategic focus lies in improving productivity in API & Formulations manufacturing, optimizing sourcing and logistics, and implementing a commercial excellence program to strengthen our market presence and expand customer share.



With years of dedicated effort in manufacturing excellence, vertical integration, focused execution, and cost leadership, we have built a resilient business centered around key core molecules. This achievement has led us to a critical scale and a prominent leadership position in the market.

Our core strength lies in our existing products, esteemed customers, robust pipeline, state-of-the-art manufacturing facilities, and extensive capabilities. We have cultivated a reputation and fostered a culture of Manufacturing Excellence, leveraging economies of

scale, producing large-volume products, and possessing advanced infrastructure for MUPS, Oncology, and controlled substances.

We are institutionalizing this approach as an ongoing commitment to continuously enhance profitability through a portfolio of value engineering projects. The improved margins from our core business provide us with the resources to invest in future growth drivers and drive innovation-led research and development initiatives.



WE ARE STRENGTHENING OUR CORE IN THE FOLLOWING WAYS



**Global Leadership
in Select Molecules**



**Global
Cost Leadership**



**Business
Development**



**Customer
Service Excellence**



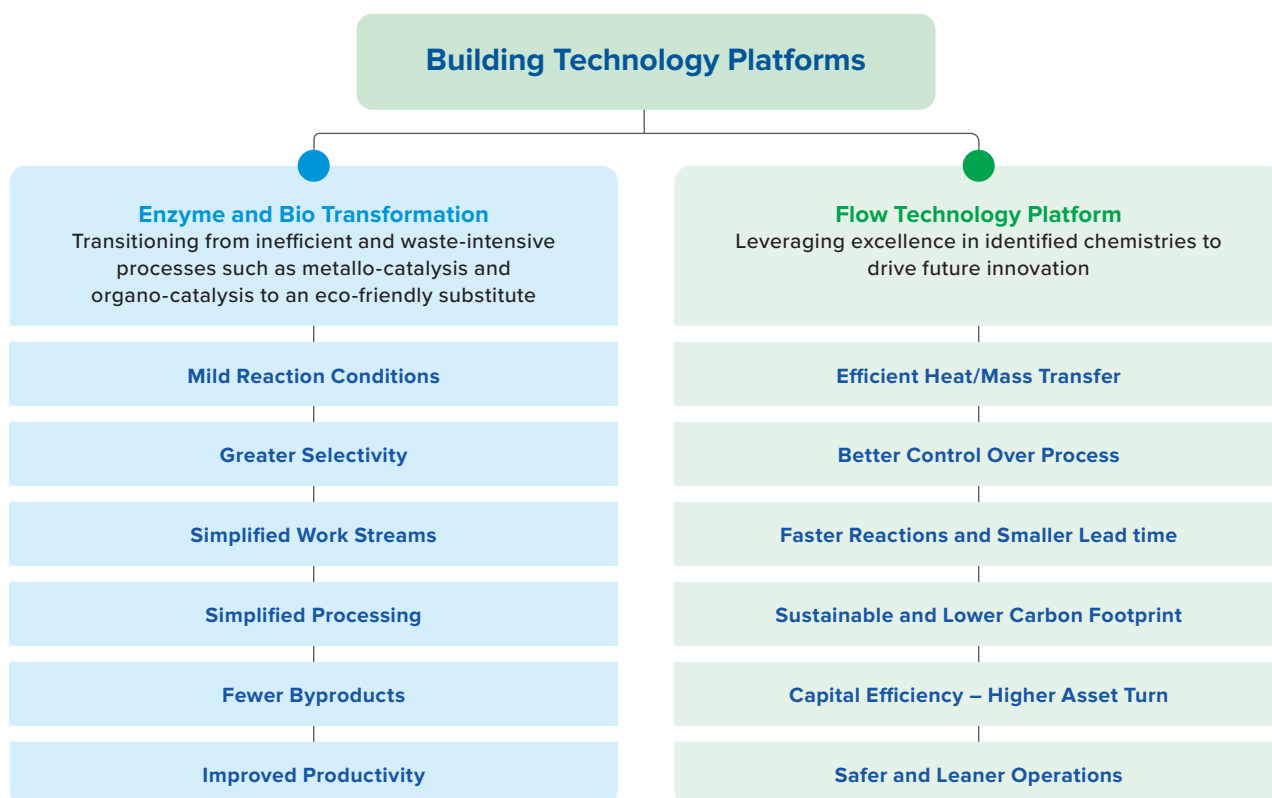
**Successful New
Product Launches**

Catalyzing Growth through Product Portfolio Expansion

Aligned with our strategic vision of transforming into an R&D-driven organization, we are actively augmenting our product development capabilities. Through these advancements, we aim to broaden our overall capabilities, elevate the quality of our portfolio, and significantly increase the number of regulatory filings. By doing so, we are positioning ourselves for robust future growth.

During FY 2022-23, we achieved the notable milestone of establishing an integrated product development R&D center at Genome Valley, a Center of Excellence (CoE) dedicated to Controlled Substances APIs and KSM development at Pragathi Nagar, and the creation of a cutting-edge Bio Lab at Pragathi Nagar.

The sprawling 20,000 sq. ft. Genome Valley facility unifies API R&D and Formulation R&D teams, fostering agile product development. On the other hand, the Bio Lab at Pragathi Nagar strengthens our capabilities in fermentation, biotransformation, and enzyme-led projects. Leveraging the R&D expertise of Pragathi Nagar and Granules Pharma Inc (GPI), we are poised to expand our footprint in controlled substances, solidifying our position in the market.





PIONEERING GREEN PRODUCT DEVELOPMENT FOR SUSTAINABLE GROWTH

We place sustainability at the forefront from the early stages, integrating our green chemistry matrix with principles like Atom economy, Atom efficiency, and E-factor. The Eco-Scale concept assesses process efficiency through evaluations across 6 parameters and 38 sub-parameters at every stage. Supported by eco-friendly enzymes and bio-transformation, our superior capabilities in identified chemistries enhance sustainability. Operational targets and green score thresholds drive our unwavering commitment to embedding sustainability in each product, cultivating a greener and more responsible approach.

From Vision to Action

Sustainability is at the heart of Granules' strategic vision and deeply embedded in the Company's decision-making process. It serves as a guiding principle that influences our choices and actions, ensuring that we prioritize long-term environmental and social considerations alongside our business objectives.

We are actively breathing life into sustainability through pioneering initiatives, exemplified by our ground-breaking partnership with Greenko for green pharmaceutical products. This transformative collaboration seeks to foster a symbiotic connection between the well-being of our planet and the health of humanity. By harnessing green energy, sustainable industrial feedstocks, and embracing circular economy principles, we are intertwining growth with sustainability.

Moreover, sustainability is intricately integrated into our product development process, as demonstrated by the implementation of our Green card and Eco scale initiatives. These endeavors showcase our unwavering commitment to environmentally responsible practices and serve as tangible steps toward creating a more sustainable future.

Getting Recognized in the Universe of Sustainability

CRISIL

An S&P Global Company

54

Rating by CRISIL (23rd rank among pharmaceutical companies)



C Score

Received for climate change in our first CDP disclosure

ecovadis

Silver Rating

Achieved by Unit-1 Bonthapally

Bronze Rating

Achieved by Jeedimetla unit



We set ambitious near and long-term goals across the areas of ESG by actively listening to our stakeholders.

We aim to:

Be Net Zero by 2050

Scale Green Chemistry product development and set up a flagship green pharma plant with an outlay of ₹ 2,000 crores

Establish an enterprise-wide sustainability governance framework

Our Sustainability Journey



FY 2022-23 marked another crucial milestone in our journey of sustainable value creation. Over the years, we have achieved remarkable progress, and now we are harnessing our solid foundations to move closer to our vision.

2008-09

Recognized by CII for implementing 'Environmental Best Practices' at the Gagillapur plant.

Developed a green belt in and around all plants.

2009-10

Set a target of Zero Liquid Discharge (ZLD), Zero accident zone, and zero occupational health hazard status.

2010-11

Conducted Hazard Analysis and Risk Assessment (HARA) for each manufactured product.

2014-15

Successful completion of the Social Accountability Audit for the Gagillapur plant.

Green initiatives through investments in the ZLD at Bonthapally and the Effluent Treatment Plan at Gagillapur.

ISO 14001 and OHSAS 18001 certification for facilities at Jeedimetla and Gagillapur.

2013-14

The Bonthapally facility received the ISO 14001 certification for environmental management and the OHSAS 18001 certification for occupational health safety systems.

Began installing ZLD systems at our sites.

2050

Target to achieve
Net Zero emissions

2022-23

Announced our plan to invest ₹ 2000 crores to establish a flagship green pharma plant.

Implemented an enterprise-wide Sustainability Governance framework.

Received C Score in our first CDP climate change disclosure.

Improved ESG rating by CRISIL to 54/100.

Conducted materiality assessment for the first time and identified 13 ESG material topics.

2021-22

Set a compelling vision to empower significant number of individuals through Pharma Pathshala.

100% shareholder grievances resolved.

2020-21

Achieve a healthy ESG rating of 53 by CRISIL.

Creation of a sustainability team to execute a focused ESG plan.

2019-20

Recognized by CII for Completed USFDA Audit for Gagillapur facilities in Hyderabad.

Sourcing from local sources crosses the 75% mark.

Achieved further reduction of solid waste generation and specific water consumption by 27% and 23% at Bonthapally API facility.

2018-19

Set our sights on setting goals for building a sustainable future.

2016-17

13% reduction in water consumption at the Bonthapally API facility.

Reduced coal consumption by 8% in Jeedimetla Unit.

Achieved a 12% reduction in power consumption in our API plant.

Launched a Self Directed Team (SDT) program across manufacturing units to nurture skill development.

2017-18

Initiated sourcing of electricity from solar power plants.

Supported local suppliers by sourcing 50%-55% from Telangana.

Climate Crisis: Navigating Risks, Seizing Opportunities

Climate change is the greatest risk we face today, with consequences that go beyond borders, destabilizing nations, and posing challenges to economies and ecosystems.

Multi-Faceted Impacts of Climate Change

The impacts of climate change are extensive and far-reaching, requiring a nuanced approach. From visible consequences such as rising temperatures to less apparent ones like heightened extreme weather events, these shifts in our natural environment coincide with significant social, economic, and political shifts. The economic implications of climate change are significant, affecting industries, supply chains, and financial systems.



The Lens Through Which We View Climate Change

Addressing climate change is an immediate and pressing priority, rather than a future concern for businesses. We see its challenges as catalysts for innovation, inspiring the development of solutions that drive positive change.

Thriving in the business world means recognizing and tackling societal challenges. Amidst the climate crisis, corporations bear a crucial responsibility to introduce innovative solutions and combat climate change.

As customers, governments, and financial institutions increasingly demand sustainable offerings, businesses that can meet this demand will be well-positioned for success in the future.

By embracing renewable energy sources, implementing sustainable practices, and adopting eco-friendly technologies, we can protect our planet while also stimulating economic growth and creating a more resilient and prosperous future. Viewing climate change through this lens allows us to see it as both a crisis and an opportunity for positive transformation.

INDIA'S CLIMATE ACTION COMMITMENTS

India has set ambitious targets to reduce carbon intensity and achieve energy independence, including a net-zero target by 2070 and a 45% reduction in carbon intensity by 2030 compared to 2005 levels. These targets present exciting opportunities for businesses to embrace renewable energy, adopt sustainable manufacturing practices, and make advancements in green hydrogen technologies. By aligning with India's vision, companies can position themselves as key contributors to shaping a greener and more sustainable future.



Net Zero

Our Compass, Commitment, and Future

In the pharmaceutical value chain, Scope 3 emissions surpass the combined emissions of Scope 1 and 2, making it crucial for business to prioritize decarbonization throughout the supply chain for both sustainability and business reasons.

Granules CZRO marks a significant milestone in our journey, demonstrating our unwavering commitment to sustainability and initiative towards de-carbonization across the supply chain.

This transformative collaboration aims to harmonize growth and sustainability by harnessing renewable energy, sustainable raw materials and embracing the principles of a circular economy.



Commitment towards Net Zero





Commitment towards Net Zero

In our pursuit to revolutionize manufacturing and transform supply chains, we have joined forces with Greenko to establish the integrated green pharmaceutical zone (GPZ) in Kakinada, Andhra Pradesh, as part of Granules CZRO.



Our Partnership with Greenko

- Develop and promote state-of-the-art GPZ.
- Supply of carbon free green energy and green molecules solutions
- To build a greenfield facility for large-scale manufacturing of KSMs, Intermediates, APIs, and fermentation-based products.

Value Proposition of Granules CZRO

- Decarbonize Granules' value streams, offering near "Net Zero" Carbon footprint from "Cradle to gate"
- Backward Integration, Value chain ownership and Supply security
- Create Innovation and Sustainability driven new growth opportunities

Closing the Loop

The partnership between Greenko and Granules represents a significant step in the decarbonization of Granules' value streams, aiming for a near 'Net Zero' carbon footprint from 'Cradle to Gate'.

By leveraging Greenko's expertise in renewable energy solutions with Granules' industry knowledge, the partnership aims to achieve decarbonization across the complete value chain. With the circularity built into the operations, the by-products from one product value stream are utilized as input materials in the value stream of other products, creating a closed-loop system.

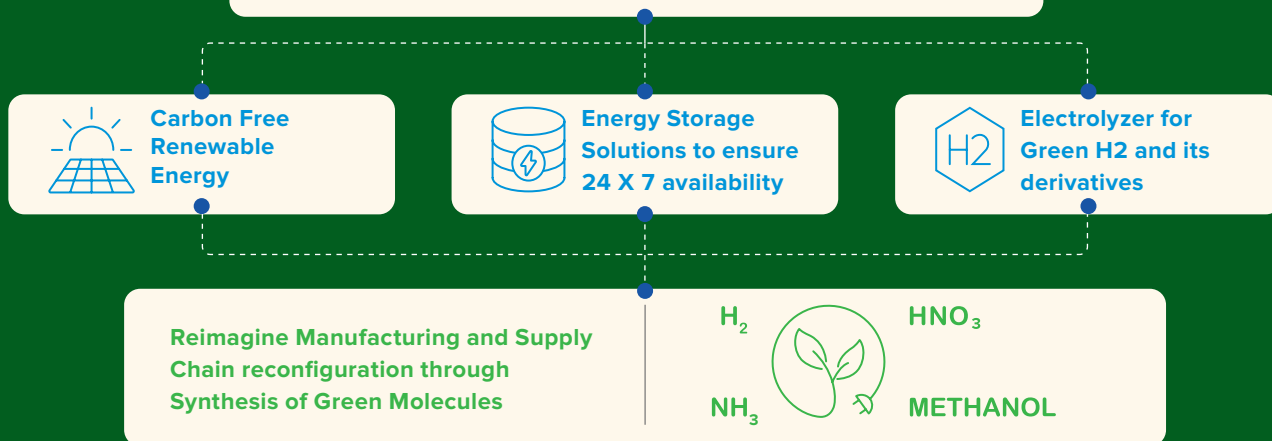
By maintaining control over the value chain, we ensure the delivery of high-quality products while promoting sustainability and resource efficiency.

Our Investment Approach

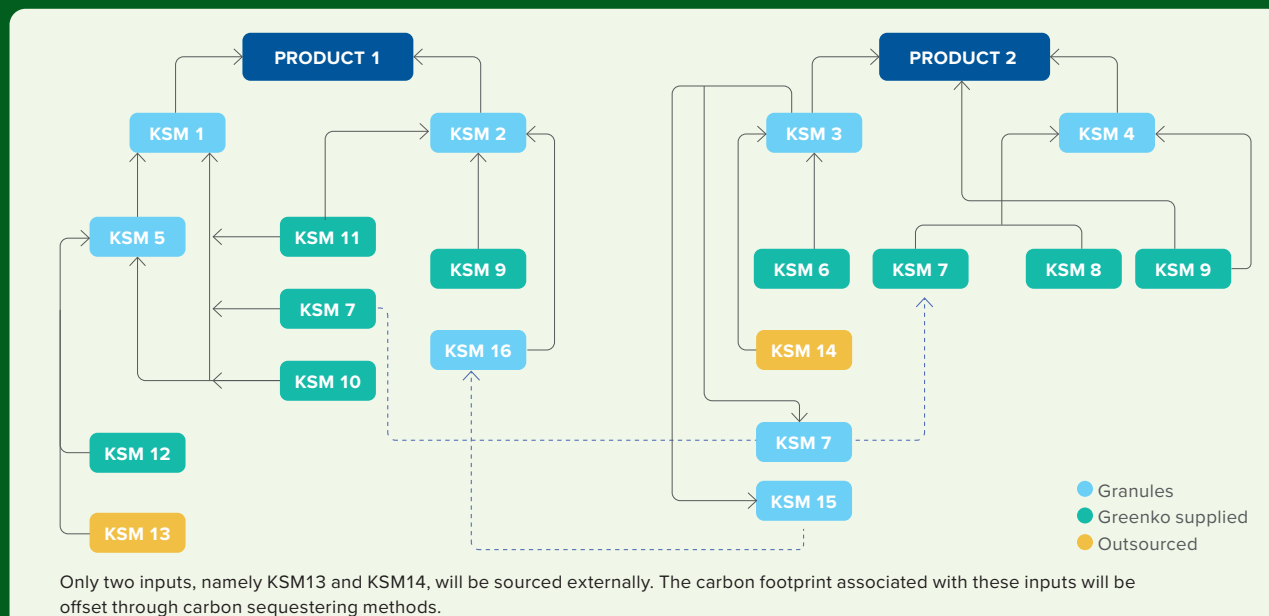
At CZRO, we will adopt a frugal approach to investment, prioritizing a phased and stage-gated strategy. The initial phase focuses on strengthening our core business, followed by prudent capital deployment with flexibility. Pilot-scale investments enable validation and optimization before scaling up to commercial manufacturing. This approach ensures swift commercialization and seamless transition, maximizing efficiency and capitalizing on growth opportunities.



Complete Supply Chain Decarbonization Action Plan



Ownership and Decarbonization of Entire Value Chain with Built-in Circularity



Our ESG Approach

We have established the baseline and benchmarking of our sustainability practices within the industry. We are committed to adopting best-in-class practices and we are currently in the process of setting extensive goals and key performance indicators for identified material topics.

We are Led by



Purpose



Vision

Guided by



Values

Enabled by
Strategic Levers



Strengthening our Core



R&D and Innovation



Sustainability

With a focus on

Material Topics

Delivering
Consistent
Value for
Stakeholders

Key Internal Stakeholder Groups



Employees



Contractual Employees



Senior Management

Key External Stakeholder Groups



Shareholders/Investors



Government Regulators



Customers



Local Communities



Supplier



NGOs

Across the areas of

Environment

Social

Governance

Contributing to the United
Nations Sustainable Development
Goals (UN SDGs)



Progress made in FY 2022-23



Environment

We are making continuous progress in monitoring our greenhouse gas (GHG) emissions year after year. In FY 2022-23, we actively participated in the CDP Climate Change disclosure, specifically focusing on scope 1 and scope 2 emissions. To ensure accuracy and reliability, we have engaged BSI to validate our GHG accounting methodology. Moving forward, our goal is to incorporate and track scope 3 emission calculations as well.

In the upcoming financial year, we have plans to enhance our transparency by initiating the disclosure of our sustainability performance through a comprehensive sustainability report. This report will adhere to the Global Reporting Initiative (GRI) standards and other global standards, providing detailed and holistic information regarding our sustainability practices.

Social

Throughout this year, we placed a strong emphasis on raising awareness among employees regarding the significance of sustainability and their contributions to our sustainability goals. To achieve this, capacity-building sessions were conducted in person at our facilities in Hyderabad and Vishakhapatnam. These sessions aimed to sensitize employees to the regulatory requirements of the Business Responsibility and Sustainability Reporting (BRSR) framework, ensuring that they understand their roles and responsibilities in promoting sustainability practices.

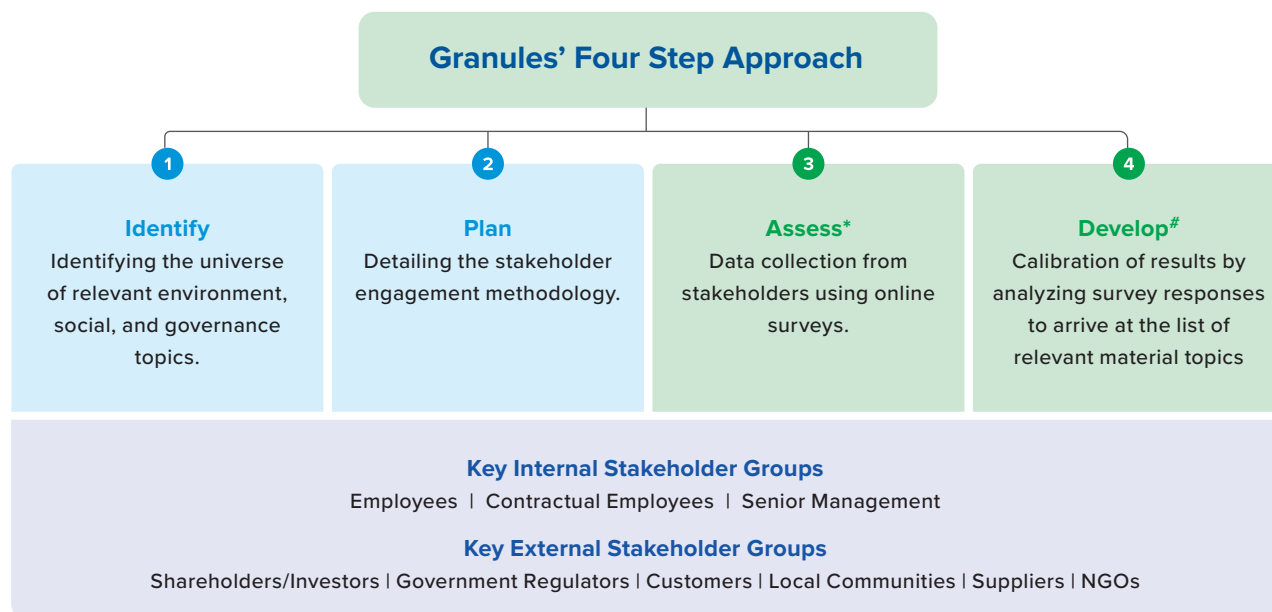


Material Topics as a Strategic Imperative

Undertaking our first ever materiality assessment signifies a significant milestone in our sustainability journey. By identifying and prioritizing key topics, we establish a foundation for informed decision-making and impactful progress toward a more sustainable future.

Our materiality assessment enabled us to identify 13 material topics, grouped into the clusters of environment, social, and governance, which we prioritize and address in this report.

Through a comprehensive assessment of sustainability encompassing ESG aspects, we have identified, examined, and analyzed potential sustainability factors and their impact on our operations and stakeholders. Thorough baselining, benchmarking, and materiality assessments have laid the foundation for our sustainability journey.



* Surveys were conducted among internal and external stakeholders to rate the importance of each topic on a five-point scale. Stakeholder categories were weighted based on their influence on and by Granules' operations.

[#] Identified topics were then assessed for their importance to key stakeholders. With senior leadership guidance, the topics were screened and prioritized, resulting in a final list of material topics crucial to both the business and stakeholders. This was done through insights drawn from various global frameworks, standards, and ESG rating agencies.

Materiality Matrix



Way Forward

Moving forward, we intend to establish specific goals within the identified material topics, including GHG emission, Climate Change, Water Management, Waste Management, Employee Engagement and Well-Being, Occupational Health & Safety, Talent Retention and Development, Business Ethics and Integrity, Responsible Procurement, Sustainability Governance, and Data Privacy and Cybersecurity. By setting clear targets in these domains, we aim to drive meaningful progress and ensure a comprehensive approach to sustainability across our operations.

Prioritising Environment Stewardship

As a responsible organization, we understand the significance of nurturing a safe and pristine environment and safeguarding the invaluable ecosystems that support us.

Following a proactive approach, we have embraced innovation, incorporated cutting-edge technologies, and implemented operational changes to mitigate long-term environmental risks and promote sustainability.

Through the establishment of a robust Environmental Management System (EMS), we demonstrate our commitment to being a leader in sustainability practices. The facilities at GGP, BPL, JDM, Unit-4, and Unit-5 are ISO certified.

Our continuous efforts focus on reducing emissions, efficiently managing water resources, and minimizing waste generation. Dedicated to advancing on the path of decarbonization, guided by well-defined targets, we strive to be a recognized advocate for sustainable practices in our industry.



Energy Consumption

Achieved an almost threefold increase in renewable energy share to reach 9.03% for FY 2022-23. This is due to the implementation of solar power usage through open access.

Installed a Solar Power Plant at Gagillapur with a capacity of 320 KWp; with a maximum power generation of 1200 KWH, which in turn would reduce 0.972 MTCO₂e daily.

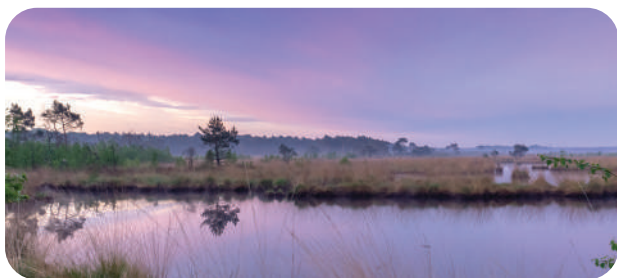
Achieved energy savings of 19.06 TJ through the implementation of various initiatives.



GHG Emissions

Managed to control our GHG footprint, which only increased by 0.4% compared to energy consumption, which rose by 2.3% in FY 2022-23. This was due to the renewable energy and energy efficiency projects we undertook during the year. At the end of the year, our total GHG footprint (Scope 1 and Scope 2) stood at 1,09,958 tCO₂ eq.

The moderate growth in GHG emissions resulted in a reduction of GHG intensity by 13.2% compared to the previous year and against the target of 5% YoY reduction.



Water Management

Successfully reduced freshwater consumption by 11.75% to reach 45,396.4 KL in FY 2022-23. This was a result of rainwater collection, improved water recycling, additional recovery of steam condensate, flash jet pump, and recycled water from effluent treatment plants.

In FY 2022-23, the percentage of water recycled during the year was more than 50%. Notably, in BPL-1, more than 90.78% of treated water was recycled.



Green Buildings

Implemented various initiatives to realize the vision of reaching the platinum rating from the Indian Green Building Council (IGBC) for our new FD manufacturing project.

We aspire to reach the Platinum rating, setting a trend among pharmaceutical companies by adopting sustainability principles in our facility development. To attain the desired rating, several critical areas have been identified and prioritized:

- ▶ Implementation of soil erosion control practices like preservation of top soil, barricading, soil stacking, sedimentation pit, water spraying, rainwater harvesting, and vegetation to ensure the preservation of fertile soil.
- ▶ Proposal for a rainwater harvesting or storage system to capture 50% of run-off volumes from roofs and non-roof surfaces, with storage designed to sustain 2-3 days of rainfall.
- ▶ Targeting 20% energy savings over ASHRAE90.1/ECBC standards through the use of high-efficiency chillers that are CFC-free and equipped with Variable Frequency Drives (VFD) to avoid ozone layer depleting gases.
- ▶ Installation of 1 MW solar rooftop photovoltaics and building-integrated photovoltaics (BIPV), as well as covering 75% of the surface parking area with solar photovoltaics, to reduce the micro-climate impact of heat dissipation.



Waste Management

Achieved ~100% recycling of non-hazardous waste generated at our manufacturing site in FY 2022-23. Additionally, we reduced hazardous waste by 13.23% to reach 460.3 Metric tons by optimizing the process.

During FY 2022-23, we sent more than 85% of solid hazardous waste for utilization by cement industries, which helped reduce our GHG footprint. Additionally, we increased the recycling of hazardous waste by 12.81%.

- ▶ Utilization of 100% certified wood/bamboo-based materials for all wood applications, with a focus on procuring at least 50% of renewable wood-based products certified by FSC or the local Forest Department.
- ▶ Encouragement of the use of salvaged building materials and products to minimize the demand for virgin materials and reduce environmental impacts associated with extraction and processing.
- ▶ Proper management of construction waste through segregation and monitoring to divert at least 50% of waste generated during construction from landfills.
- ▶ Incorporation of building materials with recycled content such as steel, cement, Ground Granulated Blast-furnace Slag (GGBS) based concrete, glass, tiles, gypsum false ceiling, fly ash bricks, and aluminium.
- ▶ Selection of "GreenPro" certified civil and interior materials to ensure sustainable and environmentally friendly choices.
- ▶ Emphasis on factory design that eliminates the risk of major carcinogenic effects related to asbestos exposure.
- ▶ Aim to achieve a daylight factor of up to 50% of occupied spaces.

Building Bridges of Trust

Building harmonious relationships and partnerships on trust have been our guiding principle over the years. These principles have enabled us to create a positive impact on the communities which are influenced and impacted by our operations.



Community Impact, Relations, and Development



Pharma Pathshala

Pharma Pathshala, a collaborative initiative with Swarna Bharat Trust, offers skill development and technical training in pharmaceutical operations to high school students. Upon completion, participants gain the opportunity to join our workforce.

Guided by our vision, the program provides a comprehensive two-month training aligned with industry standards. Through Pharma Pathshala, we shape the future of aspiring pharmaceutical professionals, bridging the skill gap and paving the way for rewarding careers in the industry.



1,065

Trainees covered so far under this initiative

Nurturing Health, Rejuvenating Lives: Dr. Chigurupati Nageswara Rao Dialysis Center



Our center, located in Guntur and Prakasam Districts of Andhra Pradesh, along with the border areas of Nalgonda and Miryalaguda in Telangana, aims to provide accessible and affordable dialysis services. St. Joseph Hospital, in collaboration with the Red Cross Society in Guntur, manages the center, ensuring quality care for patients in need.

Capacity of

750

Dialysis treatments per month
at affordable cost

SOCIAL



Granules Blood Donation Camp

During the year, around 200 employees donated their Blood for a good cause including our Chairman.

Inauguration of Overhead Water Tank in Bonthapally Village

We have launched a project to construct overhead water tanks near our Bonthapally plant, providing clean drinking water to nearby villages. The capacity of the overhead water tank is 150KL, and it aims to address the drinking water needs of the local community.

150 KL

Capacity of overhead tank





Inauguration of Overhead Water Tank in Veerannagudem Village

In Veerannagudem, Gummadidala Mandal of Sangareddy, we have inaugurated a 100KL capacity overhead water tank.

This initiative addresses the challenge faced by the villagers in accessing a consistent supply of clean drinking water to their households. We aim to provide the residents of Veerannagudem with a reliable and uninterrupted source of safe drinking water.

2,000

Expected beneficiaries from the project

Pradhan Mantri TB Mukh Bharath Abhiyaan

During the year, we contributed ₹ 4.20 Lakhs to Smt. N. Kalyani, the District Leprosy AIDS TB Officer in Anakapalli, under the Pradhan Mantri TB Mukh Bharath Abhiyaan.

This contribution specifically aims to provide six months of nutrition food to 100 patients in need. We are honored to receive a certificate of appreciation from the Central TB Division, Ministry of Health and Family Welfare, recognizing our generous and timely support in the nation's fight against Tuberculosis.



Eye Health research Initiative at LV Prasad Eye Institute

Granules India Limited contributed an amount of INR 50 million for Preventive Health Care to L V Prasad Eye Institute's Eye Health Research Initiative (Hyderabad Eye Research Foundation) for finding cure for vision threatening eye diseases. The institute continuously performs basic research on vision threatening eye disease mainly through genetic, molecular and cellular biology and microbiology aspects of eye disorders. Clinical research includes clinical trials and public health research, particularly epidemiology, on the prevalence of blinding conditions.



Nurturing Our Employees

Strengthening our human capital is vital to our growth strategy. Our principles guide us in every action we take, prioritising employee well-being at every stage of their journey with us.



Human Capital Development

In a rapidly evolving landscape, it is a business imperative for our workforce to continually acquire new skills and seize learning opportunities. We recognize that it is the passion and dedication of our people that propel us forward, enabling us to redefine the boundaries of what is possible.

Thus, we foster a culture where continuous learning and personal growth flourish, equipping them with the tools and support needed. In doing so, we embark on a path paved with remarkable achievements and groundbreaking discoveries. For it is through the investment in their development, that we cultivate not only a thriving work culture but also lay the bedrock for sustainable success.



Employee Training Programmes

	Effective Personal Productivity	5MG Learning	One Hour Learning	Code of Conduct Training
Coverage	Top leadership	General manager and above	Assistant manager and above	All employees
	First-Time Leader Program	Operational Excellence Training	Operations Training	SUPAC Training and OOS Investigation
Coverage	Aspiring leaders	Across the organization	Across the organization	Managers





Women Group Mentorship Program – Granules WoW (World of Women)

The Granules Women Mentorship Program offers a six-month transformative group coaching experience for women, facilitated by experienced business coaches. Each month focuses on different aspects of developing a high-performance mindset, including goal setting, overcoming challenges, strategic planning, and envisioning future success.

Through engaging group sessions and personalized individual coaching, this program ensures that women at Granules receive the guidance and support they need to unleash their potential and grow as high-performance leaders in their careers.

27

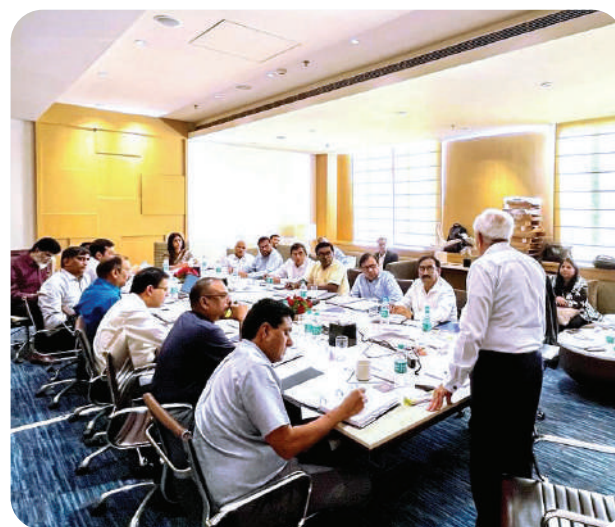
Women employees covered under this initiative.

Engaging Leadership Teams in Sustainable Transformation

In collaboration with external leading global consultants, initiated kick-off meetings with the leadership team and internal stakeholders to promote sustainability and foster a long-term commitment within the organization.

The workshops shed light on the material actions undertaken by us in recent years, encompassing vital areas such as energy efficiency improvements, waste reduction, responsible sourcing, and community engagement.

The discussions highlighted the importance of ESG performance, emphasizing the need for organizations to continuously strive for higher standards.



Awareness Session on CDP Reporting: Enhancing Environmental Transparency

We also organized an enlightening awareness session for key stakeholders on the CDP and its disclosures. The session emphasized the numerous benefits of CDP involvement, including valuable insights into environmental performance and enhanced accountability for stakeholders.



Higher-Education Program in Partnership with Tata Institute of Social Sciences (TISS)

We have partnered with TISS to offer a specialized three-year Bachelor's program in vocational studies (B. Voc) tailored for pharmaceutical manufacturing.

The program combines classroom sessions with on-the-job training to provide a comprehensive learning experience. This practical approach allows them to apply their theoretical knowledge effectively. We fully cover the program's cost for enrolled students, underscoring our commitment to investing in their education and professional development.

Through our collaboration with TISS, our goal is to empower our shop floor employees, equip them with industry-relevant skills, and cultivate a culture of continuous learning within our organization.

228

Employees covered under this educational programme.

ESG Training: Navigating the ESG Landscape

An external leading global consultancy conducted a comprehensive training session on ESG for 50 participants from various functions and locations across Granules.

The training session covered key aspects, including the significance and evolution of ESG in India, an introduction to the BRSR framework, and strategies to address ESG challenges. Armed with this knowledge, participants are now equipped to navigate the complex ESG landscape and embrace sustainable practices within their respective roles.

50

Employees covered

SOCIAL



Employee Well-being

Employee well-being is paramount to our commitment to sustainable operations and our promise of 'care'. We actively engage in various initiatives aimed at promoting positivity, wellness, and good health among our employees and their families. We organize various events for different groups of employees on different aspects of well-being.



Celebrating International Women's Day

We commemorated International Women's Day with a special event at our Gagillapur Facility. Esteemed Chief Guest, Dr. Manorama, shared her inspiring journey as Chief Scientist at CSIR-Indian Institute of Chemical Technology.

Mrs. Uma Chigurupati and Ms. Priyanka Chigurupati, Executive Directors, highlighted their remarkable journeys, breaking barriers and defying gender stereotypes.

This event symbolized our commitment to fostering an inclusive environment where women thrive, their achievements are celebrated, and their voices are heard. We remain dedicated to empowering women and advancing gender equality in our organization and beyond.



Granules Annual Family Fest

At Granules, we believe in the power of unity and strong relationships. Our annual Family Fest is a vibrant celebration that unites our employees and their families for a day of joy, cultural performances, delectable food, and exciting activities. Held at our plants, this event creates an unforgettable experience, strengthening the bonds and fostering a sense of camaraderie within our organization.





Stress Management

During the year, we conducted several programs on stress management such as Heartfulness Meditation sessions by Sri Rama Chandra Mission, Healthy BMI Challenge, 5K Run Sports Event, and Zumba workouts have been conducted. By conducting programs on stress reduction, we support a positive work-life balance and create a conducive atmosphere for growth and success.

Live Health Awareness Sessions

We have organized Health awareness sessions by industry experts such as an Eyecare session by Mamatha Academy of Medical Sciences. By imparting valuable knowledge and strategies, these sessions empower employees to make informed decisions about their health, leading to reduced healthcare costs and increased productivity.

Virtual Health Webinars

We regularly conduct occupational health webinars on common summer disorders and precautions, Mosquito-borne disorders, World Heart Day, and HIV/AIDS – Awareness at the workplace for the employees. These have been proven to be highly beneficial in promoting employee well-being and education.



Medical Camp

During the year, we have organized a Medical Camp through the support of Malla Reddy Narayana Multi-specialty Hospital to support the employees and their families with free super specialty consultations and discounted prices on Diagnostic services. This initiative reflects the company's commitment to the well-being of its workforce and reinforces a culture of proactive healthcare management.

Health Calendar

We circulate an awareness poster with Health tips on selected occupational and general health-related topics in a calendar format every month within the organization to increase awareness of Health. This monthly health calendar notification system has proven instrumental in promoting employee wellness by providing regular reminders for health-related activities.

AI Health Application

As another step towards promoting the health and well-being of employees, we have tied up with Ekincare, which is an AI-driven integrated and patented health benefits platform, as our employee health and well-being partner, or delivering personalized health and wellness experiences. Ekincare serves as our service provider for Annual Medicals too.

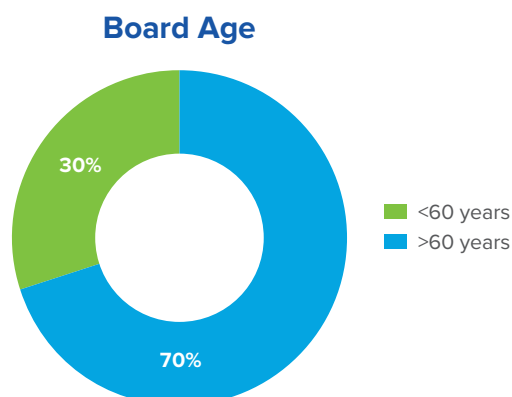
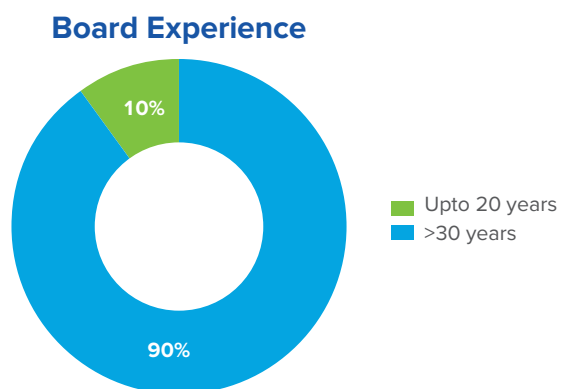
Upholding Ethics and Integrity

We strive to create a strong system of governance that is built on integrity, transparency, and accountability. Working together, the Board and senior management uphold our core values and principles, serving as guardians of our governance system.

Governance Framework



Board Snapshot



BOARD OF DIRECTORS

Guiding Granules Towards Success



DR. KRISHNA PRASAD CHIGURUPATI

Chairman & Managing Director



Dr. Krishna Prasad Chigurupati is the Chairman & Managing Director of Granules India Limited. Under his leadership, the organization has transformed itself into one of the largest pharmaceutical manufacturing companies.

His pharmaceutical journey started in 1984 with the manufacturing of Paracetamol for quality-conscious customers in the global markets. He pioneered many innovations in pharmaceutical manufacturing including commercializing Pharmaceutical Formulation Intermediates as a cost-effective product for global finished dosage manufacturers.

His passion for innovation led him to undertake research in process chemistry and file 33 patents, out of which 5 patents have been granted so far. He also ventured into setting up facilities across the continents in cities and countries such as China and the US. He was awarded an Honorary Doctor of Science by GITAM Deemed University for his exemplary contribution to science & society.

He is an avid marathon runner and has participated in many marathons across the globe. In 2010, he along with his wife, Mrs. Uma Devi Chigurupati, ran marathons on all seven continents including Antarctica and the north pole. In 2015, they completed the 'World Marathon Challenge' of running seven marathons on seven continents in seven days. Both these achievements have been recognized by the Guinness Book of World Records.

He is a passionate wine connoisseur and is the co-founder of KRSMA. The vineyard and the winery are located near Hampi. Today the wine from this vineyard is recognized worldwide and has put Hampi Hills and India on the world wine map.

He is the President of the Hyderabad Chapter of Swarna Bharat Trust, an NGO involved in the holistic improvement of the face of rural India, in the fields of health, education, employment, and human development.



DR. K.V.S. RAM RAO

Joint Managing Director & Chief Executive Officer



Dr. K.V.S. Ram Rao holds a bachelor's degree in chemical engineering from Osmania University, Hyderabad, and a master's & Ph.D. in Chemical Engineering from the Indian Institute of Science, Bangalore.

He has 30 years of experience in the field of manufacturing, R&D, business development, and commercial operations. Prior to Granules, Dr. Rao worked as the Executive Director & CEO of CSM Business of PI Industries Limited. He played a significant role in Dr. Reddy's while working in various capacities from 2000 to 2018. He also worked with Jubilant Life Sciences and Gujarat Heavy Chemicals Ltd.

He is well known for making high stake business decisions and solving complex challenges while building a strong leadership team. He established innovative business models to drive the growth agenda of the Company while instituting good manufacturing and R&D systems. He also built best-in-class practices in environment, health & safety, and nurtured diversity & inclusion. He possesses sharp business acumen, deep market knowledge & industry network, strong leadership skills, and well-grounded principles of governance & ethics.

BOARD OF DIRECTORS



MRS. UMA DEVI CHIGURUPATI

Executive Director

An entrepreneur, a successful businesswoman, a sportsperson, and a two-time Guinness Book of World Record holder, Mrs. Uma Devi Chigurupati is also the Executive Director of Granules India Limited. She spearheads the Corporate Social Responsibility and provides thought leadership, mentoring and guidance to Human Resources functions in the Company. A post-graduate in Soil Microbiology from Nagarjuna University, she holds more than three decades of experience in Pharmaceuticals across various corporate functions.

She has been the Chairperson of FICCI FLO Hyderabad. During her tenure, she has taken up many initiatives to empower women at both grass root & white-collar levels.

She is also the Director of KRSMA Estates Private Limited, one of India's premier boutique wineries. Under her tenure, she has established the vineyard in the Hampi Hills of Karnataka and has been vital to the ongoing operations at the site.



MR. HARSHA CHIGURUPATI

Executive Director

Mr. Harsha Chigurupati holds a bachelor's degree of science in Business Administration from Boston University, USA. He has over 17 years of entrepreneurial experience in marketing, product development, customer relationship management, cleanroom manufacturing, and automation. He also has in-depth knowledge and experience in various fields of research and development, clinical trials, regulatory and legal framework navigation, patents, and peer review journal publications.

He has been with Granules since 2005 in various capacities. He was instrumental in commercializing the Company's Finished Dosage division and transitioning the Company's customer base towards branded players. As an Executive Director, he is responsible for the standalone Operations and P&L of the Company.



MR. ARUN RAO AKINEPALLY

Independent Director

Mr. Arun Rao Akinepally is a B. Tech in Chemical Engineering from the University of Madras and an MS from the Illinois Institute of Technology, Chicago, USA. He is the Managing Director of Akin Laboratories Private Limited, a formulation manufacturing Company. Mr. Arun Rao has a deep understanding of Finished Dosage business and technical operations.

He is also on the Boards of ESPI Industries and Chemicals Private Limited, a leading manufacturer of antacids in India, and Sanzyme Private Limited a globally known manufacturer of Probiotics. He was an office-bearer of the Indian Pharmaceutical Association both at the Central and State level.



MR. K. B. SANKAR RAO

Non-Executive, Non-Independent Director



Mr. K. B. Sankar Rao is an M.Pharm from Andhra University and has rich experience of more than three decades in various domains including manufacturing, projects, supply chain, quality, R&D, and business strategy. He has been associated with various reputed organizations like Warner Hindustan, Cipla, and Dr. Reddy.

He led large teams in manufacturing while institutionalizing systems and processes to drive efficiencies. He was involved in the implementation

of 'The Theory of Constraints principles to improve due date performance in R&D. He was instrumental in deploying a self-managed team concept to empower the workforce in manufacturing while driving productivity. Mr. K.B. Sankar Rao was the Managing Director of Raje Retail Private Limited, a pharmacy retail chain under the brand name- "My Health Pharmacy" in Hyderabad.



MR. ARUN SAWHNEY

Independent Director



Mr. Arun Sawhney holds a bachelor's degree in commerce from the University of Mumbai and Post Graduate Diploma in Management from IMI, New Delhi. Mr. Sawhney brings four decades of rich experience in the Chemical & Pharmaceutical industry while working with Companies like Ranbaxy, Dr. Reddy's, and Max-Gb Limited.

He possesses deep expertise in the areas of corporate strategy, business development, sales & marketing, and new product planning to commercialization. In his last assignment as CEO

and Managing Director of Ranbaxy, Mr. Sawhney successfully led one of the largest mergers in Indian Corporate history.

He was also a founder member of the Indian Pharmaceutical Export Promotion Council (Pharmexcil) and was Chairman of the Pharmaceutical Committee of the Confederation of Indian Industries (CII) during 2012-2014. Mr. Sawhney is currently engaged with leading Companies in an advisory capacity and a visiting faculty at IIM-Lucknow for subjects of Leadership & Organization Behavior.



DR. SAUMEN CHAKRABORTY

Independent Director



Dr. Saumen Chakraborty is a Graduate of Physics from Viswabharati University-Santiniketan, a Postgraduate in Management from the Indian Institute of Management (IIM)-Ahmedabad, and an Executive Fellow in Management from the Indian School of Business (ISB)- Hyderabad. He possesses over 38 years of rich experience in Corporate Finance, Human Resources, IT& BPE, Manufacturing Operations, and Quality functions while working with Dr. Reddy's, Tecumseh, Eicher, C-DoT, and CMC.

He had played a significant role in the evolution of Dr. Reddy's as a Global Pharmaceutical Company while handling various CXOs roles over 20 years. As a Global CFO at Dr. Reddy's, he built robust financial systems and strong corporate governance thereby enhancing shareholders' value. Dr. Saumen

as Global Chief of HR, built contemporary HR processes and systems to make Dr. Reddy's a Great Place to Work. He established the Business Process Excellence function and led TOC implementation in Dr. Reddy's.

He has sharp business acumen, strong process orientation, and leadership capabilities to build high-performing teams. He is the recipient of the Best CFO award from various bodies including CNBC, IMA, and BW-Yes Bank. He has been a speaker at multiple global and national conferences and academic institutes. He serves as an Independent Director, for Krishna Institute of Medical Sciences Limited. He is the founder and Managing Director of Samarjita Management Consultancy Private Limited.

BOARD OF DIRECTORS



MRS. SUCHARITA RAO PALEPU

Independent Director

Sucharita Rao Palepu is a Chartered Accountant and possesses over 30 years of professional experience in the Information Technology and Financial Services Industries. She is currently an Independent Advisor, specializing in Organization & HR Transformation.

She was earlier in HR Leadership positions at Tech Mahindra, Infosys, and Mahindra Satyam and was also associated with SMIFS Capital Markets & Pennar Paterson Securities.

She has worked extensively on HR Strategy, Talent Management, Learning & Development, Global Reward programs, and Diversity initiatives. Over her career in HR, she has led several transformation programs and large-scale initiatives that have been recognized across various platforms. She is actively involved in a few NGOs and is also a certified coach. She was awarded the Exemplary Woman in Leadership Award (APAC) in HR Branding Awards 2015-16.



MR. KAPIL KUMAR MEHAN

Independent Director

Kapil Kumar Mehan is an accomplished business leader with deep managerial, domain, and strategic expertise in the areas of Agri/Agri tech sectors, green technology (green ammonia), business strategy, management, business performance improvement, setting up a new business and strategic/financial investments in the manufacturing/Agribusiness sectors. He has keen insights into business and policy/regulatory dynamics of the Agri and green chemistry industries. With his vast exposure across fertilizer, chemicals, consumer products, and agriculture industry globally, he is providing advisory and expertise across varied consulting assignments with industry (covering Indian and African markets) and marquee consulting firms such as E & Y, BCG, etc. A graduate of Veterinary Sciences and animal health, a Postgraduate in Management-SPA from the Indian Institute of Management (IIM)-Ahmedabad, and has completed Advanced Management Program from Harvard Business School.

He has experience in multiple Industry verticals such as Fertilizers, Crop Protection Products, Seeds, and Agri Input retail, Fresh Produce Supply Chain, Industrial Chemicals, Consumer Products, and Cement.

Prior to the current advisory role, during his tenure in the industry, he has served in the capacity of Group Chief Executive Officer-Agribusiness of Adventz Group, as Managing Director of

Coromandel International Limited in the Fertilizer industry, and as an Executive Director in Tata Chemicals Limited. Key initiatives/activities handled in his role with Industry encompass Acquisitions, Mergers, and Post Merger integration, Business transformational interventions, new business development / Inorganic growth, Brownfield expansions with direct involvement in EPC / EPCM, Technology contracts, overseas and local strategic sourcing tie-ups.

He is an active participant in key industry bodies at the National and International levels including the Fertilizer Association of India (FAI), the International Fertilizer Association (IFA), the National Agriculture Council of Confederation of Indian Industry (CII), Chairman of Agricultural Committee of Northern Regional Council of CII etc. He has been the past Chairman of the Alkali Manufacturers Association of India and the Salt Producers Association, Co-Chairman of FAI, and Chairman of the Marketing Committee of FAI. He has served on the Board of the International Fertilizers Association (IFA) and Chaired its Agriculture Committee. He has led many industry-level advocacy efforts for a healthy enabling policy framework for growth, sustainability, ease of doing business, and meeting the requirements of multi-stakeholders in the fertilizer sector. He serves on the Board of Directors, as an Independent Director, of Nuziveedu Seeds Limited.

MANAGEMENT TEAM

Energizing Growth and Transformation



DR. KRISHNA PRASAD CHIGURUPATI

Chairman & Managing Director

Read Dr. Krishna Prasad Chigurupati's bio on Page 51



DR. K.V.S. RAM RAO

Joint Managing Director & Chief Executive Officer

Read Dr. K.V.S Ram Rao's bio on Page 51



MRS. UMA DEVI CHIGURUPATI

Executive Director

Read Mrs. Uma Devi Chigurupati's bio on Page 52



MR. HARSHA CHIGURUPATI

Executive Director

Read Mr. Harsha Chigurupati's bio on Page 52



MS. PRIYANKA CHIGURUPATI

Executive Director of Granules Pharmaceuticals, INC. & Granules USA, INC.

Ms. Priyanka Chigurupati, the Executive Director of Granules Pharmaceuticals, Inc. & Granules USA, Inc., is responsible for overseeing our US Generics business. She holds a Bachelor of Science degree in Business Management from Case Western Reserve University (US). Within Granules, Ms. Chigurupati has served in various capacities across multiple divisions, including Sales & Marketing, Portfolio, Strategy & Investor Relations. In 2012, Priyanka joined Granules India as a Divisional Manager in Hyderabad. Over time, she progressed to become the Executive Vice President of Corporate Strategy and Business Development for Granules in 2016. Her invaluable contributions have been pivotal in

driving the company's growth and expanding our presence in the US market, which now accounts for 50% of our overall business. She has demonstrated outstanding leadership in building the GPI business from scratch and successfully establishing the entire GPI organization in the US, solidifying our position as a key player in the industry. Under her leadership, business processes have been streamlined, and top-tier talent has been recruited at GPI. Furthermore, she played a vital role in establishing our GPAK - Packaging and distribution facility in Manassas, Virginia, US, through Granules Consumer Health (GCH), a subsidiary of our entity Granules USA.

MANAGEMENT TEAM



MS. UMA RAO G

Chief Human Resources Officer

Ms. Uma is a Postgraduate in Personnel Management and Industrial Relations from the Tata Institute of Social Sciences. She comes with a rich experience of over 30 years across a wide gamut of HR functions like Strategic HR, contemporary HR policies, Business HR partnering, Talent Management, Compensation and Benefits, merger & acquisition-related HR work, Industrial Relations, and dealings with labor unions and long term settlements among others. Uma has worked in leading organizations

in IT, manufacturing, telecom, and FMCG space in companies like Tata Consultancy Services, Idea Cellular, Hindustan Petroleum Corp Ltd, HIL, IBM, and Mars International India and most recently with Ashok Leyland in key leadership roles. She has been awarded for outstanding contributions by Women Economic Forum and HRD Congress. Uma is an Academic Council Member at Pondicherry University, Reva University, and a Member of the Board of Apprenticeship Training.



MR. MUKESH SURANA

Chief Financial Officer

Mukesh is a Chartered Accountant by qualification & is a seasoned finance professional with over two decades of global experience in the field of finance, accounts, FP&A, and Taxation. He has a rich experience in the areas of business & finance, transformation, risk management, projects,

mergers & acquisitions, investor relations, legal, secretarial, commercial, procurement & IT. In the past, he has worked with reputed organizations including Garware Technical Fibers, Kalpataru Power Transmission, Asian Paints, and SRF.



DR. PV SRINIVAS

Chief Technology Officer

Dr. Srinivas is a Ph.D. in Organic Chemistry from Osmania University & a Post Doctorate from the University of Mississippi, USA.

He comes with over 30 years of experience in R&D and Portfolio selection, synthetic chemistry, fermentation technology, and downstream processing. He was responsible for developing various projects, scaling them, and commercializing

them. He has expertise in generic API development and end-to-end execution of projects from conceptualization to commercialization. Dr. Srinivas has filled more than 100 patents and has 53 paper publications. He is a fellow of the Royal Society of Chemistry. He has worked with organizations including PI Industries, IICT, Biocon, and Cipla in his earlier assignments.



MR. ANIL ARORA

President – Formulation Operations

Anil has done his Bachelor of Pharmacy and has done his Post Graduation Diploma in Material Management and is a qualified auditor for Lean Manufacturing & Six Sigma.

He comes with over 32 years of pharma experience. During his tenure, he was instrumental in providing innovative solutions that deliver great results in productivity, quality, efficiency & safety.

He is a transformational leader and has been part of multiple projects that help the organization achieve orbital change in the manufacturing zone. His strategic insights have inspired young talent to think differently and achieve unrealistic targets. Before joining us, he worked with leading pharma organizations including Dr. Reddy's, Dabur, Alkem, Abbott, and Zydus Cadila, to name a few.

MANAGEMENT TEAM



MR. MANIKANDAN RAMALINGAM

Senior Vice President & Head Formulation R&D

Mr. Mani Kandan Ramalingam is a pharmaceutical technologist with 24 years of experience and holds M. Pharma Tech from NIPER (Mohali) and a Master black belt in six sigma. In his experience, worked in providing technical, strategic, and functional leadership in uniquely challenging positions in Pharmaceutical Research. Worked at Sun Pharma and Dr. Reddy's prior to joining Granules; and served as functional head of Product development Research and subject matter expert for formulation at Dr. Reddy's. Has expertise in, API Assessment for

FD design & API – FD integration, Pre-formulation, and Formulation design (Different types of dosage forms), Biopharmaceutics and pharmacokinetics, New Technology adoption, and Product Scale up and manufacturing. Also served in leading cross-functional research team, change management, Training and team building, Regulatory risk management, product selection assessment, and Contract research management, thereby ensuring successful translation of products from Ideation to the Market.



MR. G. N. PRASHANTH

Senior Vice President & Head Corporate Quality

Mr. G. N. Prashanth is a postgraduate in pharmacy from Bangalore University and has done EGMP program from IIMB. He has over 30 years of experience and has worked in companies like Cipla, Astra Zeneca, Orchid Chemicals and Pharmaceuticals, Neopharma, Kemwell, Micro Labs,

and Strides. He has experience in various functions like Quality Control, Analytical Development, Quality Assurance, Regulatory Affairs, and Project Management. He joined us in Oct 2019 as Senior Vice President and Head of Corporate Quality.



MR. SANJAY KUMAR

Senior Vice President – Corporate Strategy & Planning

Sanjay holds a B. Tech degree from IIT Kanpur and an MBA from IIM Bangalore (Merit list holder). He has completed the Chartered Finance Analyst program from CFA Institute, USA and has attended management program at Stanford Graduate School of Business.

With over 20 years of experience, Sanjay specializes in Corporate and Business Strategy, Identifying growth opportunities, Budgeting & Planning, Financial Modeling, Developing Business

Case and Valuation. He has worked closely with senior leadership teams in various Organizations to enable decision-making and execution of key programs. At Granules, Sanjay leads Corporate Strategy, and is responsible for identifying growth levers and new business opportunities, Building organization capabilities for a future ready organization, and Strategic Planning. He was earlier associated with organizations such as Viartis (formerly Mylan), Granules India, Wanbury, and Indian Engineering Services (Civil Services).

AWARDS AND RECOGNITION



IGBC Green Crusader

Indian Green Building Council



Best Skill Development Initiative (Pharma)

TISS Leap Vault CLO Awards 2022





Gold Winner at the 10th CII National Poka-Yoke Competition



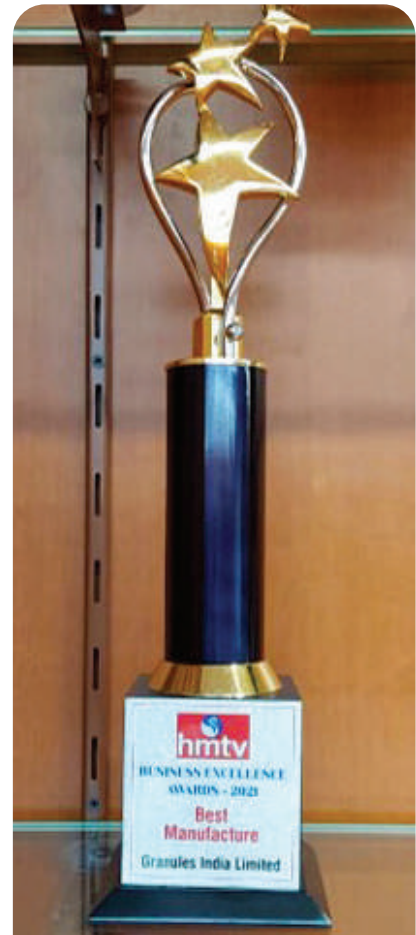
Silver Winner at the 10th CII National Poka-Yoke Competition



As one of the Most Trusted Brands
Most Trusted Brands of India 2023



Glory of India Award
Presented to Chairman & Managing Director



Best Manufacturer Bulk Drug
Business Excellence Award

CORPORATE INFORMATION

BOARD OF DIRECTORS

Dr. Krishna Prasad Chigurupati

Chairman and Managing Director – Non-Independent

Dr. K.V.S Ram Rao

Joint Managing Director & CEO-Non-Independent

Ms. Uma Devi Chigurupati

Executive Director – Non-Independent

Mr. Harsha Chigurupati

Executive Director – Non-Independent

Mr. Kolli Basava Sankar Rao

Director – Non-Executive, Non-Independent

Mr. Arun Rao Akinepally

Director – Non-Executive, Independent

Mr. Arun Sawhney

Director – Non-Executive, Independent

Dr. Saumen Chakraborty

Director – Non-Executive, Independent

Ms. Sucharita Rao Palepu

Director – Non-Executive, Independent

Mr. Kapil Kumar Mehan

Additional Director – Non-Executive, Independent

CHIEF FINANCIAL OFFICER

Mr. Mukesh Surana

CHIEF HUMAN RESOURCES OFFICER

Ms. Uma Rao G.

COMPANY SECRETARY & COMPLIANCE OFFICER

Ms. Chaitanya Tummala

REGISTERED OFFICE

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STATUTORY AUDITORS

M/s. S. R. Batliboi & Associates LLP, Chartered Accountants
The Skyview 10, 18th Floor, Zone B, Survey No. 83/1,
Raidurgam, Hyderabad (TS) –500 032

INTERNAL AUDITORS

M/s. Dhanunjaya & Haranath Chartered Accountants
302, Wings, 8-3-960/6/2, Srinagar Colony,
Hyderabad (TS)- 500 073

SECRETARIAL AUDITORS

M/s. Saurabh Poddar & Associates
4-1-6/A/1, 2nd Floor, AB Chambers, Street No. 6, Tilak Road,
Abids, Hyderabad (TS) - 500 001

REGISTRAR & TRANSFER AGENT

M/s. KFin Technologies Limited
Selenium Tower B, Plot 31-32, Gachibowli, Financial District,
Nanakaramguda, Hyderabad (TS)- 500 032
Toll free number - 1-800-309-4001
Email: inward.ris@kfintech.com Website: www.kfintech.com



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